STATEMENT OF PURPOSE

RS33557 / H0843

This legislation amends Section 63-602G, Idaho Code, relating to the homeowner's property tax exemption. The bill removes provisions requiring the exemption to be prorated when the eligibility status of a property changes during the tax year.

Under current law, when a property becomes eligible or ineligible for the homestead exemption during the year, the exemption amount may be prorated based on the number of days the property qualified for the exemption. This process has been inconsistently applied and has been difficult to administer in practice. This legislation provides that the full exemption amount shall apply as of January 1 of the tax year in which a complete application is submitted and approved and eliminates the requirement that the exemption be prorated.

The bill maintains the existing requirement that applications must be submitted by the last business day of the year to receive the exemption for the current tax year. Applications received after the second Monday in July will continue to be granted as tax cancellations rather than adjustments to the property roll.

FISCAL NOTE

The fiscal impact to the state General Fund is expected to be minimal and indeterminate. It may result in a small increase in the amount of property value receiving the homestead exemption in cases where a homeowner becomes eligible for the exemption during the tax year and would otherwise have received only a prorated exemption. The bill may also result in administrative efficiencies for counties by eliminating the need to calculate prorated exemptions.

Contact:
Representative Dustin Manwaring
(208) 332-1000

DISCLAIMER: This statement of purpose and fiscal note are a mere attachment to this bill and prepared by a proponent of the bill. It is neither intended as an expression of legislative intent nor intended for any use outside of the legislative process, including judicial review (Joint Rule 18).